RESELLER TAX & DEDUCTIONS

You're taxed on profit — not on sales. Most resellers overpay because nobody told them that.

A plain-English map of how reselling income is taxed, every expense you're allowed to write off, and the records that turn a scary 1099-K into a small, correct tax bill.

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> ⚠ **Read this first.** This is general educational information, not tax, legal, or financial advice. Tax rules change yearly and vary by state and situation. Numbers and thresholds here are current-as-of estimates — confirm everything at **IRS.gov** and with a qualified tax professional before you file.

01 The one idea that saves you most
02 Hobby or business?
03 The 1099-K, demystified
04 Everything you can deduct
05 COGS: the deduction people get wrong
06 Mileage, the sleeper write-off
07 A real return, side by side
08 Self-employment tax & quarterly payments
09 Do you need an LLC?
10 Records that protect you
11 Your year-end checklist

01

The one idea that saves you most

If you remember nothing else, remember this: **you owe income tax on your profit, not on your sales.** If you sold $18,000 of sneakers but spent $11,000 buying them and $2,500 on fees and shipping, you're taxed on roughly `$4,500` — not $18,000.

> **Every legitimate business expense you record lowers the number you're taxed on. Every one you forget, you pay tax on.**

That's the whole reason tracking matters. A reseller who keeps clean records and a reseller who doesn't can do identical sales and owe wildly different amounts — because one can prove their costs and the other can't.

02

Hobby or business?

This is the first fork, and it matters. If the IRS sees your reselling as a **business** (you're trying to make a profit, doing it regularly and businesslike), you report it on `Schedule C` and you can deduct your expenses. If it's a **hobby**, the income is still taxable — but under current rules you generally *can't* deduct expenses against it. That's the worst of both worlds.

You lean "business" if you:

- **Intend to make money** and source/sell with some regularity, not once a year.
- **Keep records**, track costs, and reinvest — you treat it like an operation.
- **Depend on or grow the income** over time.

Most active resellers are businesses, which is *good* — it's what unlocks every deduction in this guide. You don't need to register anything to be a sole proprietor; you just report it. (Whether to form an LLC is section 09.)

03

The 1099-K, demystified

A 1099-K is just a form the marketplace sends you (and the IRS) reporting how much it paid you. It causes panic every January — mostly needlessly. Two things to understand:

1. The threshold only decides who gets the form.

For 2025–26 the federal reporting threshold is back up to **$20,000 and 200+ transactions** (a 2025 law reversed the planned $600 rule). Some states set lower thresholds. But the form is just paperwork.

2. Getting a form — or not — doesn't change what you owe.

You owe tax on your profit *whether or not* a 1099-K shows up. Under the threshold and got nothing? You still report the income. Got a 1099-K for $25,000 of gross sales? You don't owe tax on $25,000 — you subtract your costs first and owe on the profit.

The trap: a 1099-K reports your *gross* payments, including the buyers' shipping and the sales tax the platform collected. If you just copy that big number onto your return and stop, you massively overpay. Your records are what bring it down to reality.

04

Everything you can deduct

These are the ordinary, necessary costs of running a reselling business. Each one lowers your taxable profit. Track them all year — not from memory in April.

DEDUCTION	WHAT COUNTS	WATCH-OUT
Cost of goods (COGS)	What you paid for items that *sold* this year, incl. sales tax & buyer's premium at purchase	Only for items actually sold — see §05
Platform & selling fees	Final value fees, commissions, payment processing, listing/store fees, promoted-listing ad spend	Pull these from each platform's reports
Shipping & postage	Labels you paid for, postage, insurance, tracking	Not shipping the buyer reimbursed and you didn't pay
Packing supplies	Boxes, poly mailers, tape, bubble wrap, thermal labels, ink	Keep receipts
Mileage / vehicle	Sourcing trips, post office runs — IRS standard rate per mile	Must log date, miles, purpose — see §06

DEDUCTION	WHAT COUNTS	WATCH-OUT
Home office	Space used *regularly and only* for the business; simplified method is a flat rate per sq ft	"Exclusive use" is strict — a corner counts, the family couch doesn't
Phone & internet	The business-use *percentage* of your bills	Only the business share, reasonably estimated
Software & subscriptions	Crosslisting apps, this tracker, accounting tools	Business use only
Other	Bank/PayPal fees, mileage parking, business education, returns you ate	Must be ordinary & necessary for the business

The tracker's Expenses tab is built around this list — log supplies, subscriptions, and mileage as they happen, and the year-end CSV totals them into a Schedule-C-style summary for you or your accountant.

05

COGS: the deduction people get wrong

Cost of goods sold is usually your *biggest* deduction — and the most misunderstood. The rule: **you deduct the cost of an item in the year it sells, not the year you bought it.**

Say in 2026 you spend $10,000 buying inventory but only sell items that cost you $7,000 — the other $3,000 is still sitting in bins unsold. Your COGS deduction for 2026 is `$7,000`. The remaining $3,000 becomes a deduction later, when those items sell.

> This is exactly why the tracker separates **in-stock** from **sold**, and tags each sold item's cost. At tax time, your COGS is the sum of *cost* on everything marked sold — which the CSV calculates for you.

06

Mileage, the sleeper write-off

This is the deduction most resellers leave on the table. Every mile you drive *for the business* — thrift and estate-sale sourcing, post office and UPS runs, trips to buy supplies — is deductible at the **IRS standard mileage rate** (around `$0.70/mile` recently; it changes yearly, so confirm the current rate).

It adds up fast. 150 business miles a week is ~7,800 a year — over $5,000 in deductions from driving you were already doing. But the IRS requires a **log**: date, miles, and purpose of each trip. No log, no deduction if you're ever asked.

The tracker's Mileage expense type captures exactly that — date, miles, and purpose — and values it at whatever rate you set for the year. Log the trip the day you make it.

07

A real return, side by side

Same reseller, $20,000 in gross sales. On the left, they panic and report the 1099-K number. On the right, they tracked everything. Look at the taxable profit.

Gross sales (the 1099-K number)	**$20,000**
Cost of goods sold	-$9,000
Platform & selling fees	-$2,400
Shipping & postage	-$1,500
Packing supplies	-$400
Mileage (1,200 mi × $0.70)	-$840
Home office (simplified)	-$600
Software & subscriptions	-$240
Taxable profit	**$5,020**

The reseller who tracked is taxed on **$5,020**. The one who copied the 1099-K is taxed on **$20,000** — roughly $15,000 of phantom income. At even a 22% bracket plus self-employment tax, that sloppiness can cost **$4,000–5,000** in tax they never owed. The records *are* the money.

08

Self-employment tax & quarterly payments

Two surprises that catch new resellers:

Self-employment tax

On top of income tax, business profit over $400 is subject to **self-employment tax** (~15.3%, covering Social Security and Medicare). It's calculated on your net profit, so — again — every deduction lowers it too. This is why people are shocked their "small" side income owes more than they expected.

Quarterly estimated taxes

If you'll owe roughly $1,000+ in tax for the year, the IRS generally expects you to pay in **four estimated installments** during the year, not all at once in April. Miss them and you can face an underpayment penalty.

Simple habit: set aside a rough **25–30% of your net profit** as you go, in a separate account, so tax time is never a scramble. Your accountant can fine-tune the exact percentage for your bracket and state.

09

Do you need an LLC?

No — not to resell, and not to deduct expenses. By default you're a sole proprietor the moment you sell with a profit motive; you report on Schedule C and claim every deduction in this guide without forming anything.

An **LLC** is mainly about *liability protection* (separating personal assets from the business), not tax savings — a single-member LLC is taxed the same as a sole proprietor by default. Some high-profit sellers later elect S-corp status to save on self-employment tax, but that only makes sense past a certain income and adds paperwork and cost.

Bottom line: start as a sole proprietor, keep clean records, and talk to a pro about an LLC or S-corp only once your profit is large enough that the protection or savings clearly outweigh the cost.

10

Records that protect you

If you're ever questioned, deductions you can't document don't count. Keep these — most for at least three years:

- **What you paid, per item.** Receipts, screenshots, or a logged cost for every buy — this is your COGS proof.
- **Your sales & fees.** Each platform's transaction/fee reports, plus your 1099-Ks.
- **Expense receipts.** Supplies, postage, subscriptions, equipment — photograph paper receipts before they fade.
- **A mileage log.** Date, miles, purpose — contemporaneous beats reconstructed.
- **A year-end summary.** One clean export of income, COGS, fees, and expenses to hand your accountant.

The tracker produces that last one on demand: the CSV export lays out inventory, sales, fees, expenses, and a Schedule-C-style total — the exact document that turns tax season from guesswork into a ten-minute handoff.

11

Your year-end checklist

1. **Mark everything sold** that actually sold, with real sale prices and fees.
2. **Log any missing expenses** — supplies, subscriptions, and especially mileage you forgot.
3. **Export the CSV** for the year — your income, COGS, fees, and expense totals in one place.
4. **Confirm the current figures** — mileage rate, 1099-K thresholds, home-office rate — at IRS.gov.
5. **Hand it to a tax pro** (or your software) and file Schedule C. Pay the self-employment + income tax on your *profit*.

6 **Set next year up** — start tracking from day one, and set aside ~25–30% of profit as you go.

One more time, because it matters: this guide is general education, not tax, legal, or financial advice, and no accountant-client relationship is created by reading it. Tax law changes every year and differs by state and by your personal situation. Every figure here — rates, thresholds, methods — is an estimate that may be out of date by the time you read it. Verify current rules at **IRS.gov** and consult a qualified tax professional before making decisions or filing.